DTCC

OBLIGATON WAREHOUSE

PAIR OFF UPDATE GUIDE

JANUARY 14, 2014



DOCUMENT REVISION HISTORY

Date	Version	Author	Description
8/13/2013	1.0	Janice DiTore	First Edition
9/30/2013	1.1	Janice DiTore	Correct Obligation Warehouse Control Number in the one to many example in the **One to Many Pair Off Scenario** section.
11/4/2013	1.2	Janice DiTore	Complete the Obligation Warehouse Web section with page shots and examples.
12/19/2013	1.3	Janice DiTore	Correct Obligation Warehouse Control Number in the Pair Off Scenario section, Step 3: Day 2, when remainder balances are used in subsequent (future) pair offs.
1/15/2014	1.4	Janice DiTore	SEC approval received 1/7/2014, all reference to Subject to SEC approval have been removed.

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1. ABOUT THIS GUIDE

The Obligation Warehouse User Guide contains general knowledge about the use of the Obligation Warehouse which interfaces with other NSCC and DTC applications and outside parties, including participants and regulators. The Obligation Warehouse User Guide provides details of the process flow for equity clearance and Obligation Warehouse, including its functionality. Also included are general descriptions of businesses processes and information flow in Obligation Warehouse.

This *Obligation Warehouse User Guide Pair Off Update* describes the daily process that provides open obligations in the same CUSIP (where the positions of the buyer and seller offset) the opportunity to be closed as a **Pair Off**.

This guide contains:

- Benefits of the pair off process.
- Requirements for pair off.
- When the pair off process takes place.
- Exclusions preventing an obligation from pair off.
- Rules for pair off.
- Methodology of the pair off process.

View scenarios demonstrating how the pair off process works under a variety of conditions, including:

- Off-setting obligation matches when criteria match exactly for quantity, settlement date and final money (Perfect).
- Obligation matches when the underlying security is classified as a municipal.
- One-to-Many obligation pair offs.
- When pair off remainder balances are used in subsequent (future) pair offs.

Uses for the **Pair Off Indicator** either through MQ messaging or in the Obligation Warehouse Web application are explained in this update.

Obligation Warehouse Pair Off Activity MRO specifications are included, along with MQ Messaging information.

Members anticipating using the pair off process in Obligation Warehouse should review the Preparation for Testing requirements at the end of this document.

2. ABOUT PAIR OFFS

Benefits of Pair Off Process

The Pair Off process can result in:

- fewer obligations to warehouse, maintain, and possibly settle
- reduced costs.

Pair Off Requirements

The pair off process takes place at the obligation level, and requires the bilateral agreement of both parties for a pair off to be considered. Both parties must set the Pair Off Indicator to YES on every obligation to be included in the pair off. The obligation must be in an OPEN status in the same CUSIP, where both the buyer and seller are the same parties but on opposite sides. The settlement date can be in the past or current.

Pair Off Time of Execution

The pair off process takes place daily – with the exception of the processing date of the Reconfirmation and Pricing Service (RECAPS) – running immediately after the completion of the CNS eligibility check (at approximately 17:15 Eastern Time). At the conclusion of the pair off process an MQ Administrative message is generated and distributed as an MT 599.

Pair Off Exclusions

An obligation is excluded from the pair off process if one of the following occurs:

- Not in an OPEN status.
- Obligation source is ACAT/ DCAT.
- Last business event of SIMS.
- Undergoing a corporate action.
- Underlying security is a mutual fund, syndicate, or when issued.

Pair Off Rules

Obligations do not result in pair off if one of the following is true:

- Pair off indicator is set to NO.
- Pair off would result in a negative quantity of the main obligation.
- Net of the two obligations being paired off would result in a non-standard settlement (Non-standard settlement means either the quantity or final money amount are negative even though the other field is positive).
- Pair off results in no change to the final money amount of the main obligation.
- One of the obligations in the pair off would have a quantity with zero final money amount.

If a pair off is possible then the main obligation is decremented by the matching quantity and the relative proportionate final money amount versus the closed obligation. In the event that final money amounts for each obligation do not net, a cash adjustment is generated and appears in the cumulative DTC Settlement Obligation Warehouse Pair off Total Code 22 figure for the following business day.

The Obligation Warehouse Pair Off Activity is available as a Machine Readable Output (MRO) file through AutoRoute and as a report in the Obligation Warehouse Web Report Center.

When an obligation is closed due to a pair off the business event is:

- POFF (if the entire obligation closed in one pair off).
  -or-
- POFP (if the obligation only partially closes).

Pair Off Methodology

The Obligation Warehouse first identifies any obligation in an OPEN status with its pair off eligibility flagged as YES by both buyer and seller, regardless of forward or past settlement dates where the contra-sides and CUSIP are the same and the obligations are offsetting, resulting in a fewer number of transactions outstanding. Obligation Warehouse begins the Pair Off process by reviewing obligations from the Receiver's perspective. The hierarchy of review for pair off is as follows:

Find a perfect off-setting obligation.
Look for obligations where a one-to-many pair off would result in no cash difference.
Begin a one-to-many evaluation where one main obligation is decremented by the off- setting obligation being closed. The resulting money would be calculated and any cash adjustment sent to DTC for settlement.
Repeat 1- 3 from the Deliverer's perspective.

Note:
Municipal securities (sub-issue type 310) is included in the pair off process if they satisfy the requirements of steps 1 or 2.

3. PAIR OFF SCENARIOS

The following scenarios show how the pair off process works under a variety of conditions.

Pair Off Scenario When Criteria Match Exactly for Quantity, Settlement Date, and Final Money (Perfect)

In a perfect off-setting obligation match where the criteria match exactly for quantity, settlement date, final money, the net result of combining the two obligations is no cash movement.

Receiver Member	Deliverer Member	CUSIP	Quantity	Final $ Amount	Settlement Date	Obligation Warehouse Control Number	Comment
1001	2001	459200101	20	4100.00	5/31/2013	W20132030001	1:1 match
2001	1001	459200101	20	4100.00	5/31/2013	W20132030002	1:1 match

Pair Off Scenario When Obligation Underlying Security Classified as Municipal

The first obligations to be paired off is as a one-for-one OR one-for-multiple number of obligations where the total quantity results in a complete cleanup. **Note: Cash differences might result.**

Receiver Member	Deliverer Member	CUSIP	Quantity	Final $ Amount	Settlement Date	Obligation Warehouse Control Number	Comment
1003	2002	160131CT3	10,000	12,000	5/31/2013	W20132030003	1:1 match
2002	1003	160131CT3	10,000	12,000	5/31/2013	W20132030004	1:1 match
1003	2002	160131CT3	45,000	540,000	6/3/2013	W20132030005	1:many
2002	1003	160131CT3	15,000	180,750	5/31/2013	W20131230006	many:1
2002	1003	160131CT3	20,000	240,000	6/4/2013	W20132040007	many:1
2002	1003	160131CT3	10,000	120,500	6/5/2013	W20132050008	many:1
		Cash Diff	0	$ 1,250			

For the purposes of Obligation Warehouse pair offs, the sub-issue types 310-315, found on the DTCC security master file is classified as a municipal.

One-to-Many Pair Off Scenario

In this scenario, each obligation (including the main obligation) is assigned the pair off control number that identifies the grouping and denotes the sequence. Additionally, on the daily Pair Off Activity MRO file or the Pair Off Report available through the Obligation Warehouse Web Report Center, the pair off groups are mapped to the pair off control number to show the individual sequences and the final cash adjustment balance. The partial pair off process begins by evaluating the oldest settlement dates first, and then the smallest quantities. Separately assess each obligation against the rules for pair off.

Receiver Member	Deliverer Member	CUSIP	Quantity	Final $ Amount	Settlement Date	Obligation Warehouse Control Number	Comment
1004	2003	38526T101	14,510	2,321.60	5/15/2013	W20132030009	Main
2003	1004	38526T101	2,300	322.00	5/1/2013	W20131960010	Pair Off
2003	1004	38526T101	1,000	130.00	5/7/2013	W20131970011	Pair Off
2003	1004	38526T101	3,500	490.00	5/23/2013	W20131980012	Pair Off
2003	1004	38526T101	6,200	1,054.00	5/30/2013	W20132010013	Pair Off

Step 1:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price/ Share	Credit to Member	Debit to Member	Comment/ Cash Adj. Amount
W20132030009	14,510	2,321.60	.1600			Original amount
	2,300	368.00				Amt. of decrement
W20131960010	2,300	322.00	.1400			Closed
				2003	1004	$ 46.00

Step 2:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price/ Share	Credit to Member	Debit to Member	Comment/ Cash Adj. Amount
W20132030009	12,210	1,953.60	.1600			Balance amount
	1,000	160.00				Amt. of decrement
W20131960011	1,000	130.00	.1300			Closed
				2003	1004	$ 30.00

Step 3:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price/ Share	Credit to Member	Debit to Member	Comment/ Cash Adj. Amount
W20132030009	11,210	1,793.60	.1600			Balance amount
	3,500	560.00				Amt. of decrement
W20131960012	3,500	490.00	.1400			Closed
				2003	1004	$ 70.00

Step 4:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price	Credit to Member	Debit to Member	Cash Adj. Amount
W20132030009	7,710	1,233.60	.1600			Balance amount
	6,200	992.00				Amt. of decrement
W20131960013	6,200	1,054.00	.1700			Closed
				1004	2003	$ 62.00

The delivering party of shares has a higher price point so the deliverer gets a credit.

The main obligation has a remaining balance of Quantity 1,510 shares with Final Money Amount of $241.60.

The Obligation Warehouse Pair Off Activity file is available as AutoRoute product ID (02051967 for production, and 02981967 for test). Contact your Relationship Manager to be set up for this new file.

Pair Off Scenario When Remainder Balances Used in Subsequent (Future) Pair Offs

The one-to-many example above creates a final remainder balance which may be used in another pair off in the future. If this occurs, the obligation is associated with more than one Obligation Warehouse Pair off Control number.

Receiver Member	Deliverer Member	CUSIP	Quantity	Final $ Amount	Settlement Date	Obligation Warehouse Control Number	Comment
1005	2006	449172204	2,236	2,289.44	6/1/2013	W20132040011	1:many
2006	1005	449172204	230	235.50	6/6/2013	W20131990012	1:many
2006	1005	449172204	3,000	3,150.00	6/4/2013	W20131890013	1:many
1005	2006	449172204	994	1,033.76	6/12/2013	W20132130014	1:1

Step 1–Day 1:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price	Credit to Member	Debit to Member	Cash Adj. Amount
W20132040011	2236	2,289.44	1.0239			Original amount
	230	235.50				Amt. of decrement
W20131990012	230	235.50	1.0239			Closed
						No cash adjustment

Step 2–Day 2:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price	Credit to Member	Debit to Member	Cash Adj. Amount
W20131890013	3,000	3,150.00	1.05			Original amount
	2,006	2,106.30				Amt. of decrement
W20132040011	2,006	2,053.94	1.0239			Balance amount
				2006	1005	$ 52.36

Step 3–Day 2:

Obligation Warehouse Control Number	Quantity	Final $ Amount	Implied Price	Credit to Member	Debit to Member	Cash Adj. Amount
W20131890013	994	1,043.70	1.05			Balance amount
W20132130014	994	1,033.76	1.04			Closed
				2006	1005	$ 9.94

4. USING THE PAIR OFF INDICATOR

The Member controls the eligibility of an obligation for the pair off process by using the Pair Off Indicator in several ways. If occasionally it would be advantageous to bilaterally pair off a group of obligations, then the Member should identify each obligation and the Pair Off Indicator set to YES. If the Member prefers to always try to pair off obligations bilaterally to create efficiencies, then the Account Level Pair Off Indicator can be selected to YES. The Member using an Account Level Pair Off function can select individual obligations to exclude from the pair off process by individually setting the Pair Off Indicator to NO.

Managing the Pair Off Indicator at the Obligation Level

The Obligation Warehouse Pair Off Indicator is set with a default of NO, which excludes an obligation from being considered for the pair off process. To include an obligation(s) for the pair off process, the Pair Off Indicator must be set to YES.

The Pair Off Indicator on individual obligations can be set, regardless of whether the Account level selection is activated.

Obligation Warehouse uses NO as the default value for the Pair Off Indicator. Users may change the Pair Off Indicator to YES to automatically mark all obligations to be included in the pair off process using the Obligation Warehouse Web Administrative page for Account Level Pair Offs. Members may elect to have the Pair Off Indicator default to either YES or NO for all obligations submitted starting on an effective date in the future.

Managing by Using the Account Level Pair Off Indicator

- Once daily, Obligation Warehouse applies the new updates for Account Level pair offs at 10:00 Eastern Time.
    a. When the Account Level pair off selection of YES has been input for an effective date. Obligation Warehouse applies the yes value to all obligations in the OPEN status at 10:00 A.M. Eastern Time on the effective date requested. For all obligations in Obligation Warehouse in statuses other than OPEN. It is the responsibility of the member to change the Pair Off Indicator on the individual obligation.
        i. All new entries to Obligation Warehouse after the effective time and date have the new default value of YES for the Pair Off Indicator.
        ii. If a specific obligation needs to be marked as PAIR OFF = NO; the option is available for a user to change the pair off indicator on individual obligations.

    When the member elects to change the account level Pair Off Indicator to NO for all their obligations, the new no value is applied at 10:00 Eastern Time on the effective date to the obligations in the following statuses: OPEN, OPPA, PCAN, PCPA, and RCPA.

    (This conservative approach protects members from obligations being DK'ed, then included in a pair off creating an unexpected cash adjustment.)

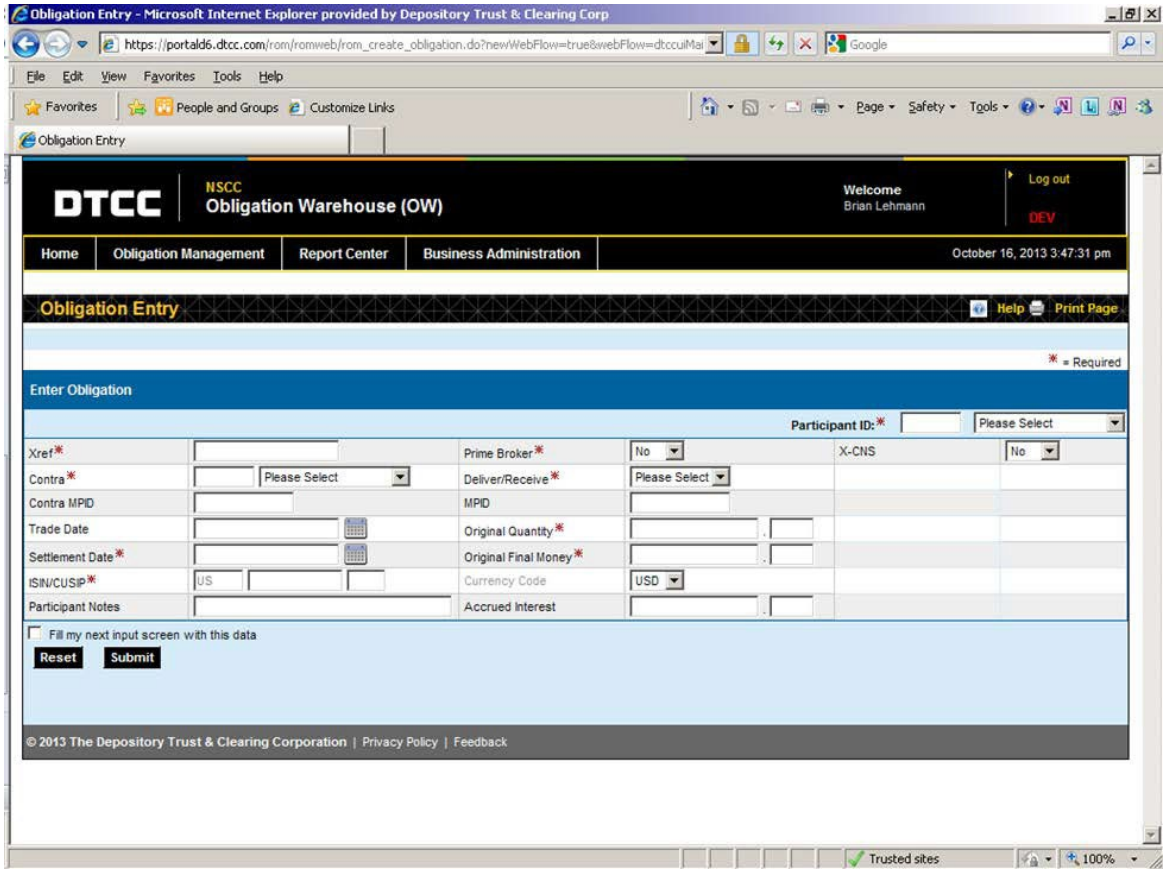
- Every new instruction submitted by a member contains the Account Level Pair Off Indicator value applied. After receipt of the initial instruction the member can then change the Pair Off Indicator to another value using a modify either on Obligation Warehouse Web or through an MQ message.
- Starting on the effective date after the 10:00 Eastern Time update, every new obligation accepted into Obligation Warehouse from the automated loads sources of ACATS/ ECATS/ FCATS; CNS Exits, and NSCC Balance Orders have the Account Level Pair Off Indicator reflecting the value requested. *(Note, the Pair Off indicator on an ACATS/ECATS/ FCATS can be set to YES, but the obligation is not eligible for the Pair Off process because of its source.)*
- Obligation Warehouse has several automated maintenance functions that can close an obligation and open a new obligation; below are the guidelines for each process.
  a. REORG (a.k.a. Corporate Actions)
     i. When Obligation Warehouse applies a mandatory REORG event that closes the old obligation, makes a transformation calculation, and opens a new obligation, the default value for the Pair Off Indicator is NO, regardless of what the original obligation pair indicator value (YES or NO).
     ii. Members are responsible for changing all Pair Off Indicators on any obligation opened in Obligation Warehouse by the automated REORG process. The Account Level Pair Off Indicator is not used.
  b. RECAPS
     i. If an obligation is trade for trade; is closed and a new obligation is opened due to RECAPS, the Pair Off Indicators are retained on the obligation.
     ii. If an obligation is closed and either bilaterally or multi-laterally netted during the RECAPS process; then the new open obligation have the default pair off indicator of NO.
  c. Participant Swings
     Obligations closed and opened in Obligation Warehouse, due to a participant swing, retain the original Pair Off Indicator value.

5. OBLIGATION WAREHOUSE WEB

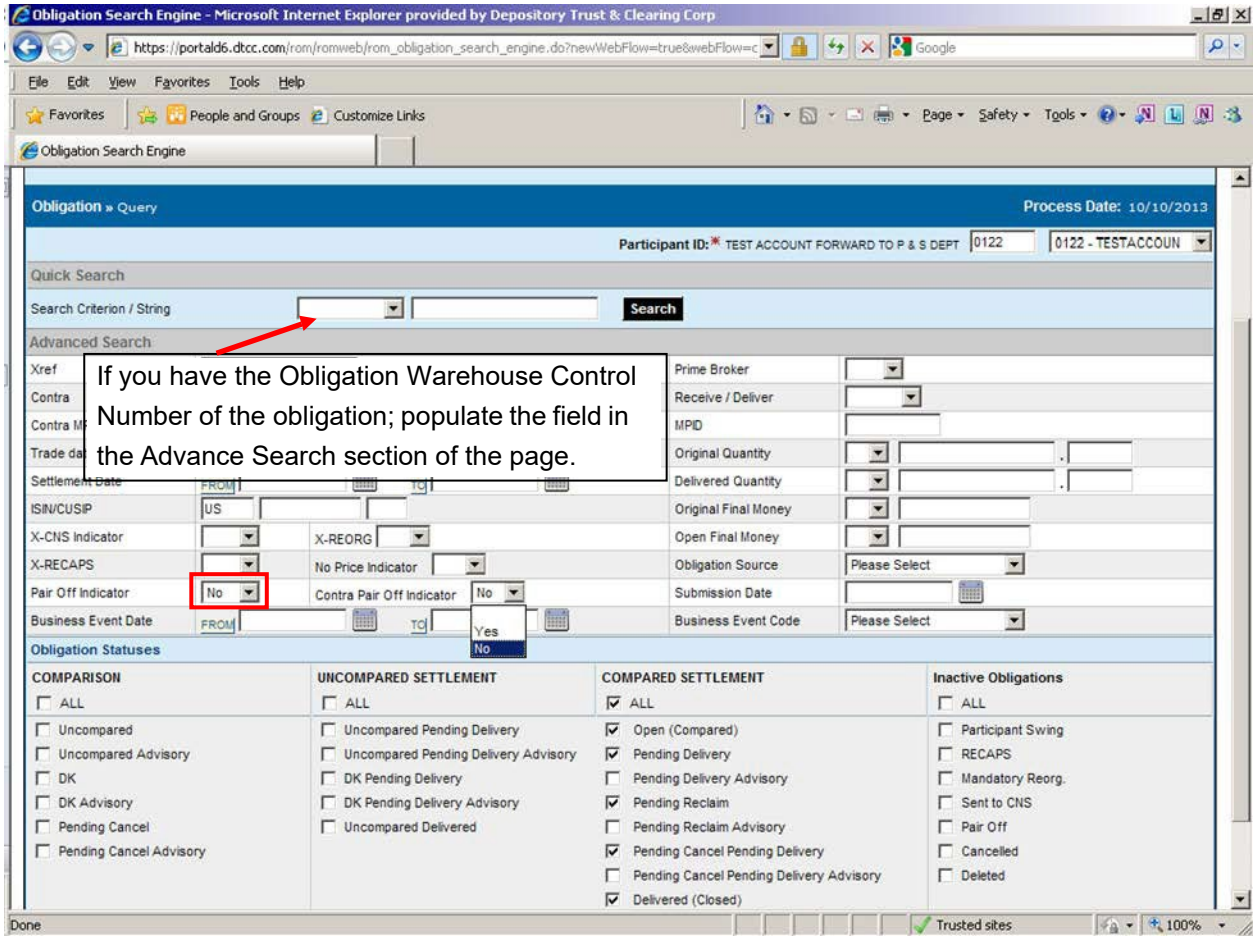
Pair off capabilities in the Obligation Warehouse Web include the choice of including or excluding any obligation from a pair off. The Obligation Search Engine provides query capability based on the Pair off Control number. Access the Obligation Warehouse Pair Off Activity report, which shows the details that create the pair off cash adjustment amounts being sent to DTC Settlement Code 22, from the Obligation Warehouse Web Report Center.

The Pair Off indicator field signifies that an obligation is available to be included in the daily Pair Off process that occurs immediately after the CNS eligibility check at 17:00 Eastern Time. The Pair Off process is not performed on RECAPS day. The criteria for the underlying security of the obligations are listed in the Pair Off Rules section of this Obligation Warehouse User Guide. The default value for the Pair Off indicator is NO. The user has the option of selecting YES to make the obligation available for the Pair Off process on an individual obligation basis after the initial submission.

The initial submission of an obligation does not display the Pair Off indicator.



Search for the obligation entered using the Obligation Search Engine in Obligation Warehouse. Using the main menu bar at the top of the page; select Obligation Search Engine. If you have the Obligation Warehouse Control Number of the obligation; populate the field in the Advanced Search section of the page. Select Search.



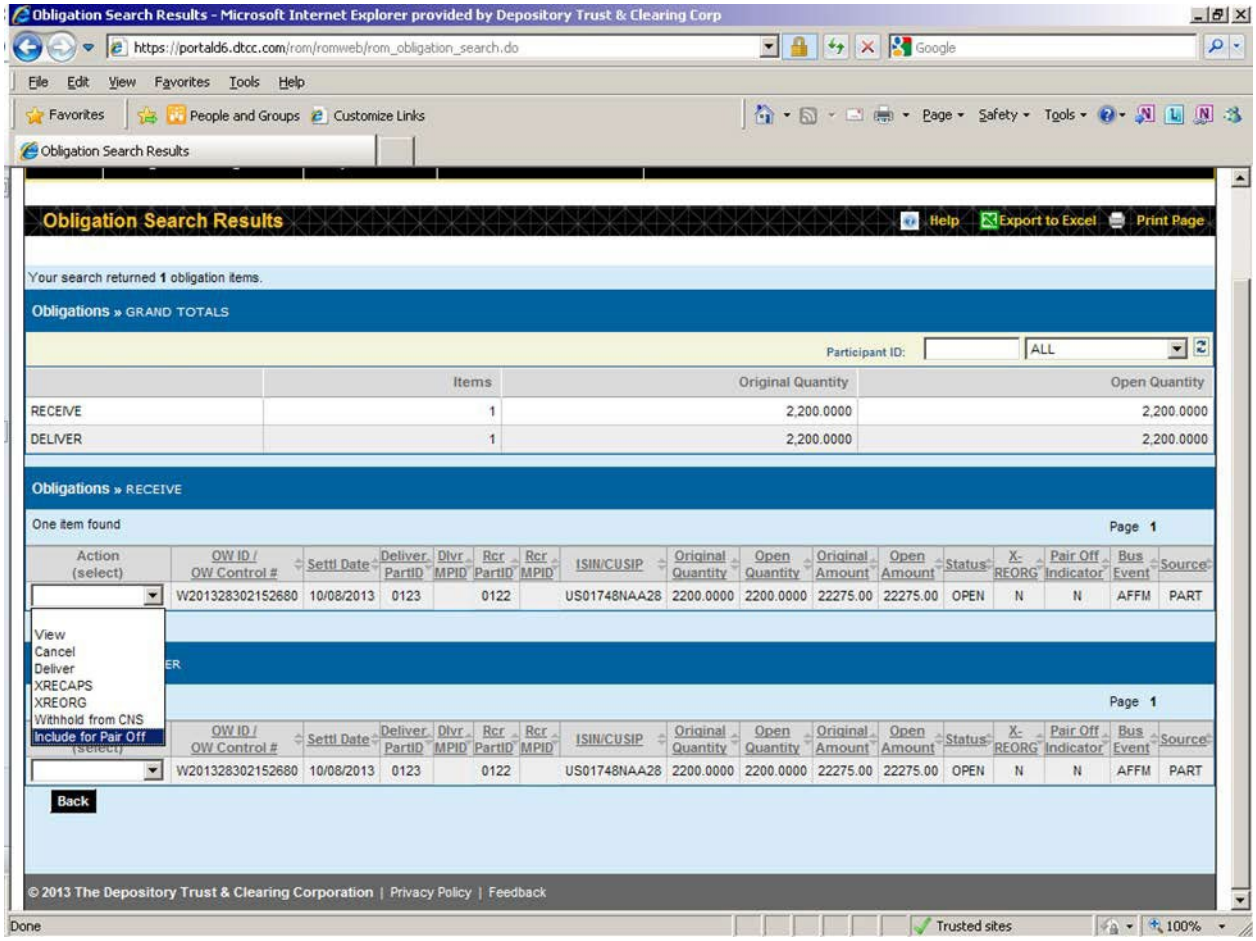
Note

The default value of NO is set for the Pair Off indicator on the obligation.

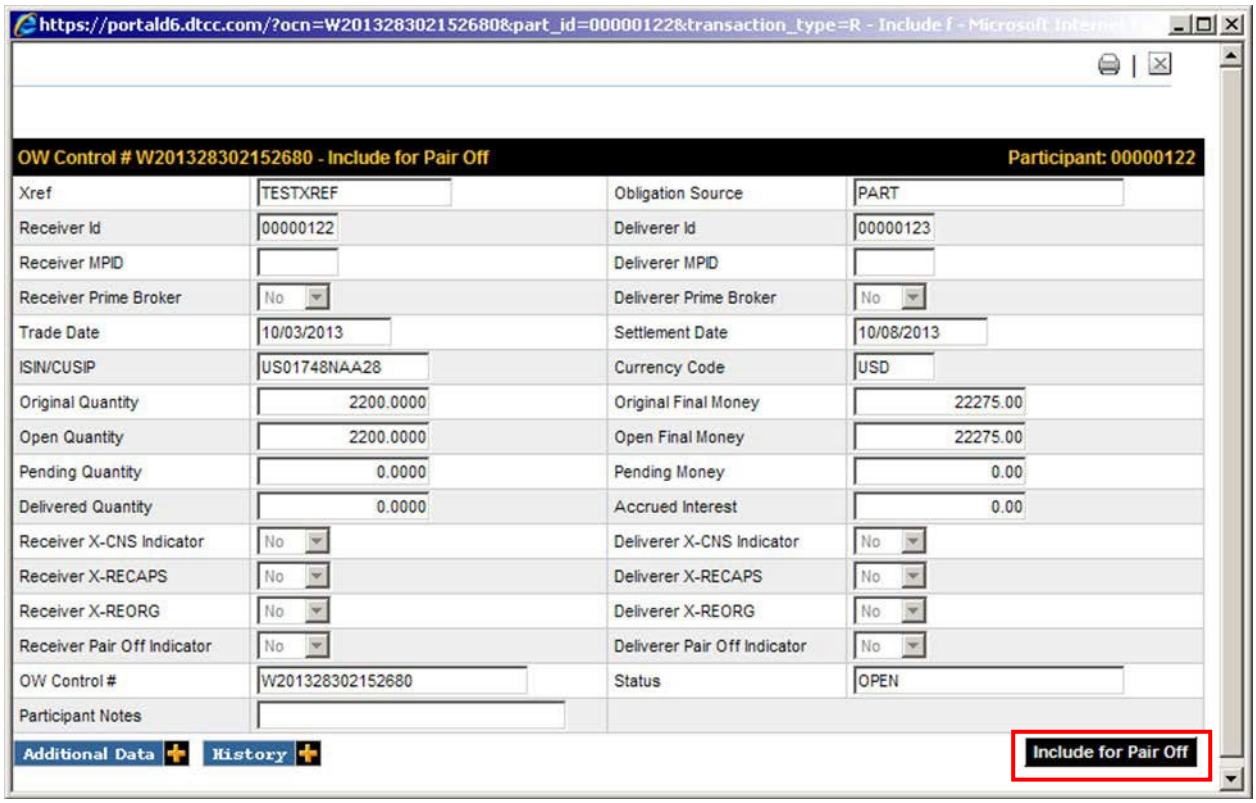
Modifying Individual Obligation Pair Off Indicators

To modify an obligation to change the Pair Off indicator from NO to YES, you need to identify the obligation using the Obligation Warehouse Web Obligation Search Engine. The obligation is returned in the Search Results page. On the left of the page is an Action selection pull-down menu box.

To modify the Pair off indicator, select **Include for Pair Off** from the drop down.



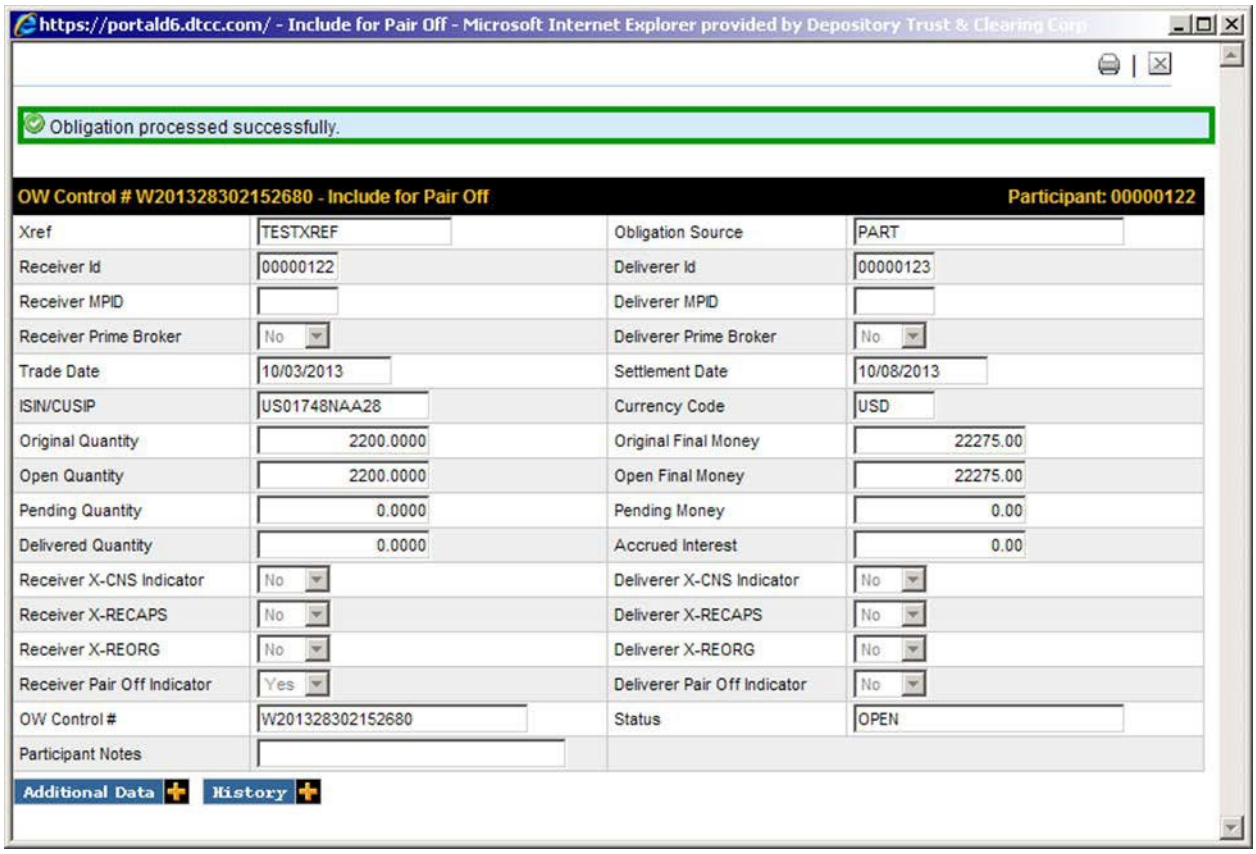
Click **Include for Pair Off**:



A pop-up box appears to ensure that the selection was made correctly. Select **OK**.



The real-time process returns a green banner at the top of the page. The banner has a positive response of Obligation processed successfully.

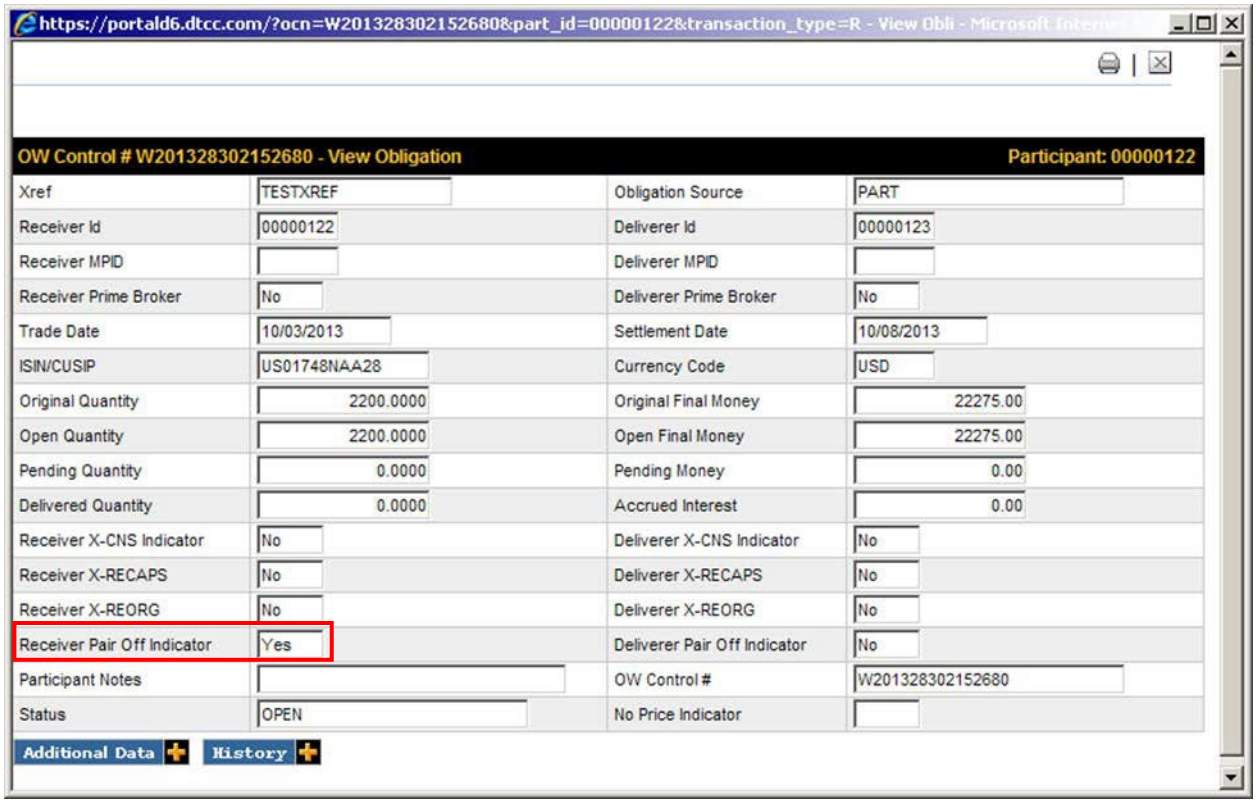


From the obligations detail page, notice that the Receiver's Include for Pair Off is now set to Yes.

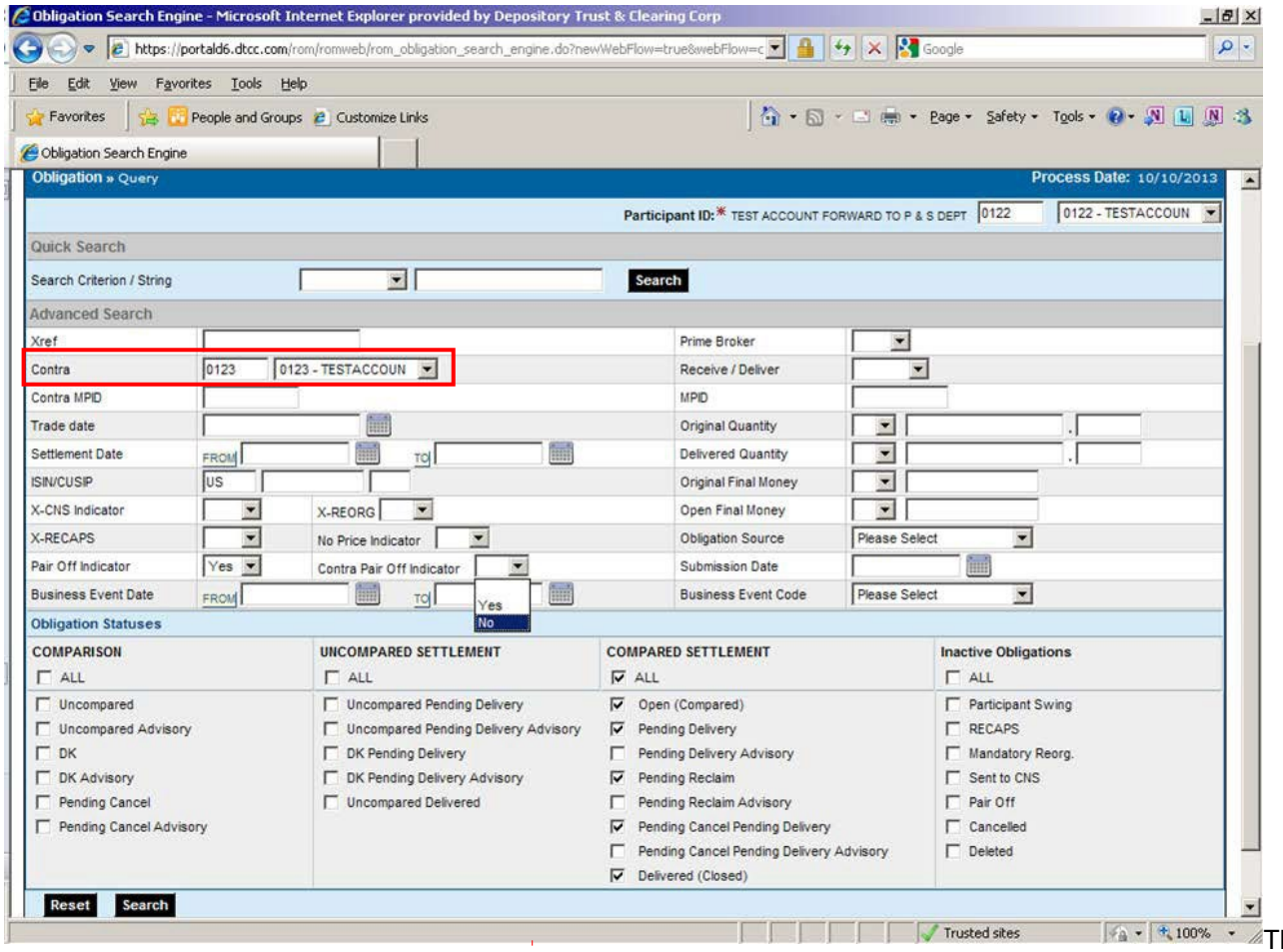
To view the obligation and see the full details of the obligation. Use the Obligation Search Engine as you did in the steps above; and identify the Obligation Warehouse Control Number of the specific obligation needed.

Select **Search**. The Search Result page is returned. Using the Actions pull-down menu; select View. The obligation displays with all the details.

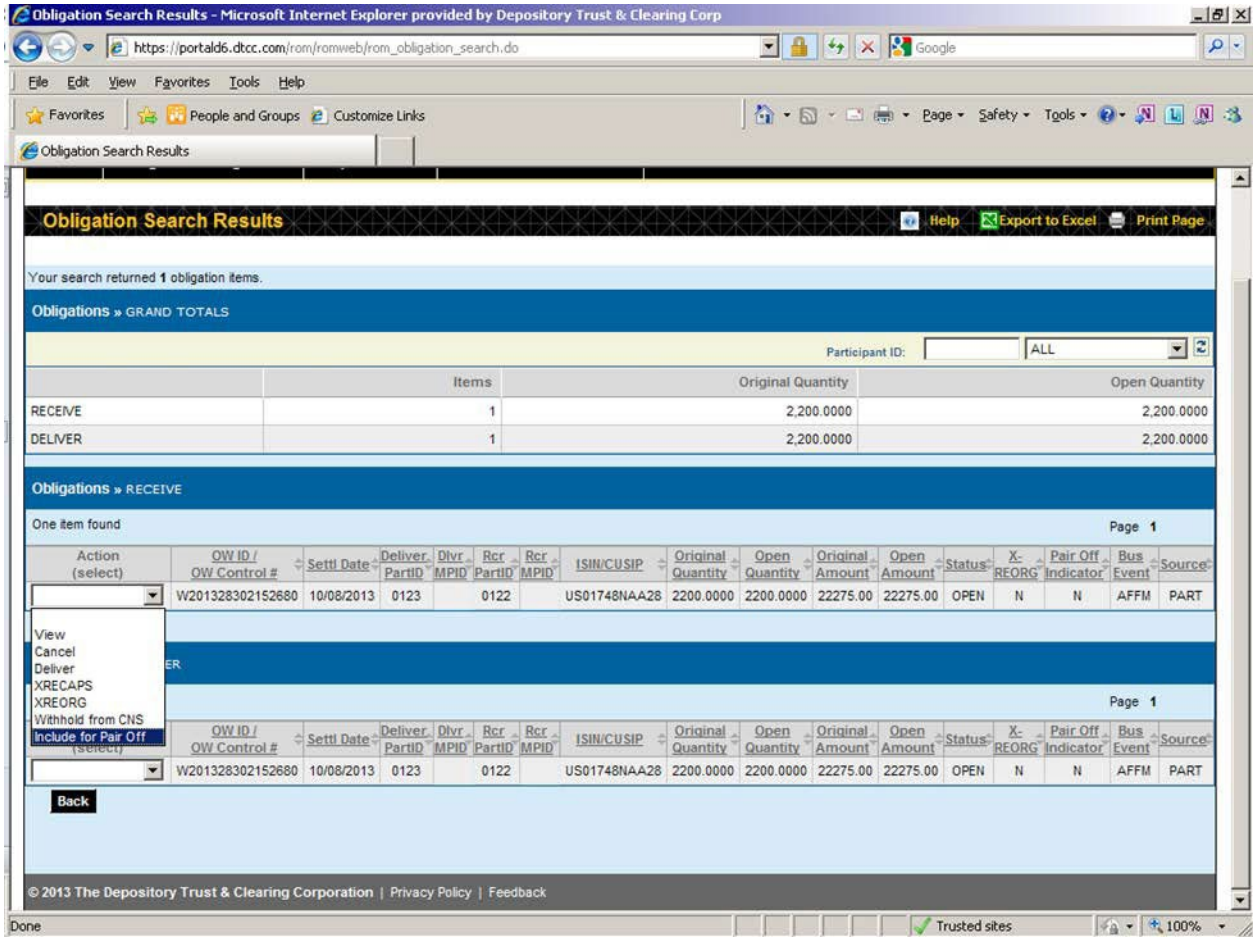
Note that the value was changed from No to Yes.



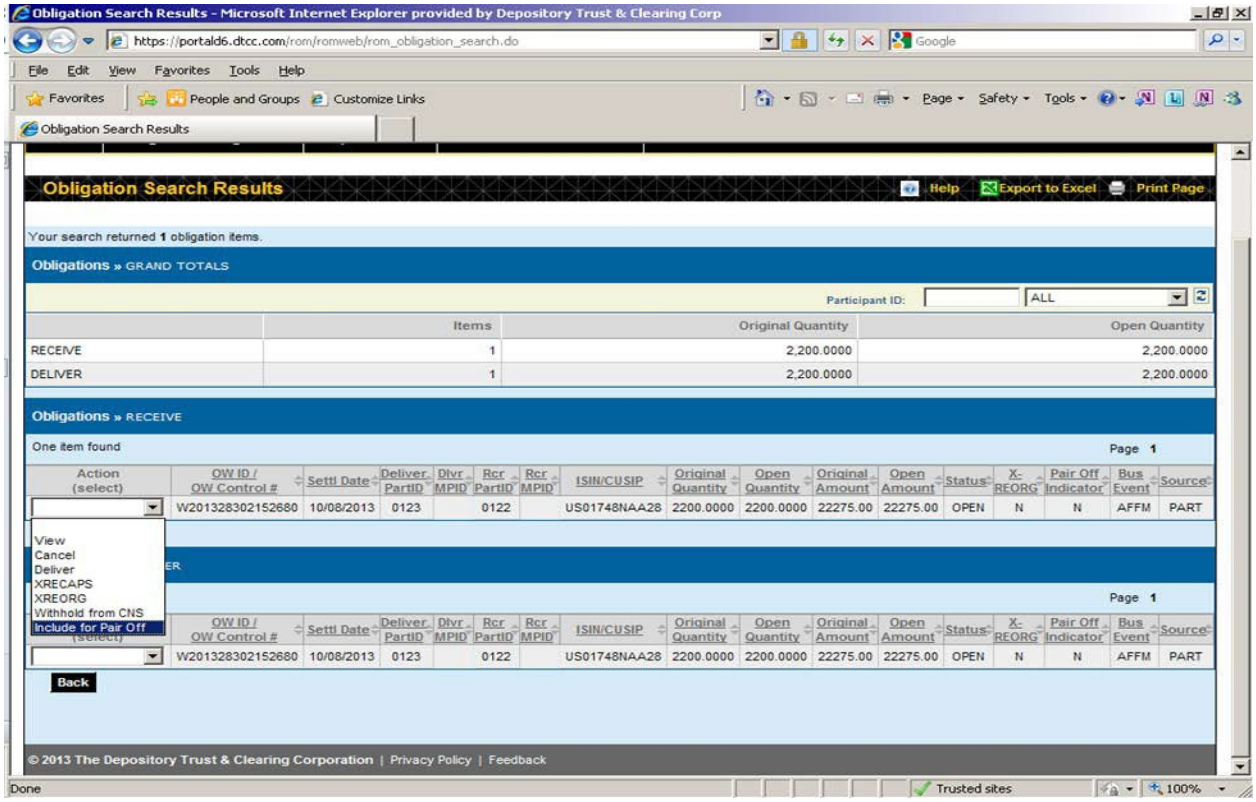
In the following example, the user is submitting a query through Obligation Warehouse Web to find the obligations with a specific Contra, that has been compared, where the Pair Off indicator is set to No.



The results returned on the query can be viewed as a list. Identify the OPEN obligation you want to change to be included in the Pair Off process. Use the Action drop down menu and select Include for Pair Off.


Obligation Search Results - Microsoft Internet Explorer provided by Depository Trust & Clearing Corp
https://portald6.dtcc.com/rom/romweb/rom_obligation_search.do
Obligation Search Results
Help
Export to Excel
Print Page
Your search returned 1 obligation items.
Obligations » GRAND TOTALS
Participant ID:
ALL
Items
Original Quantity
Open Quantity
RECEIVE 1 2,200.0000 2,200.0000
DELIVER 1 2,200.0000 2,200.0000
Obligations » RECEIVE
One item found
Page 1
Action (select)
OW ID / OW Control #
Settl Date
Deliver PartID
Dlvr MPID
Rcr PartID
Rcr MPID
ISIN/CUSIP
Original Quantity
Open Quantity
Original Amount
Open Amount
Status
X-REORG
Pair Off Indicator
Bus Event
Source
W201328302152680 10/08/2013 0123 0122 US01748NAA28 2200.0000 2200.0000 22275.00 22275.00 OPEN N N AFFM PART
View
Cancel
Deliver
XRECAPS
XREORG
Withhold from CNS
Include for Pair Off
Back
© 2013 The Depository Trust & Clearing Corporation | Privacy Policy | Feedback
Done
Trusted sites
100%

After all of the obligation details are returned, select **Include for Pair Off**.



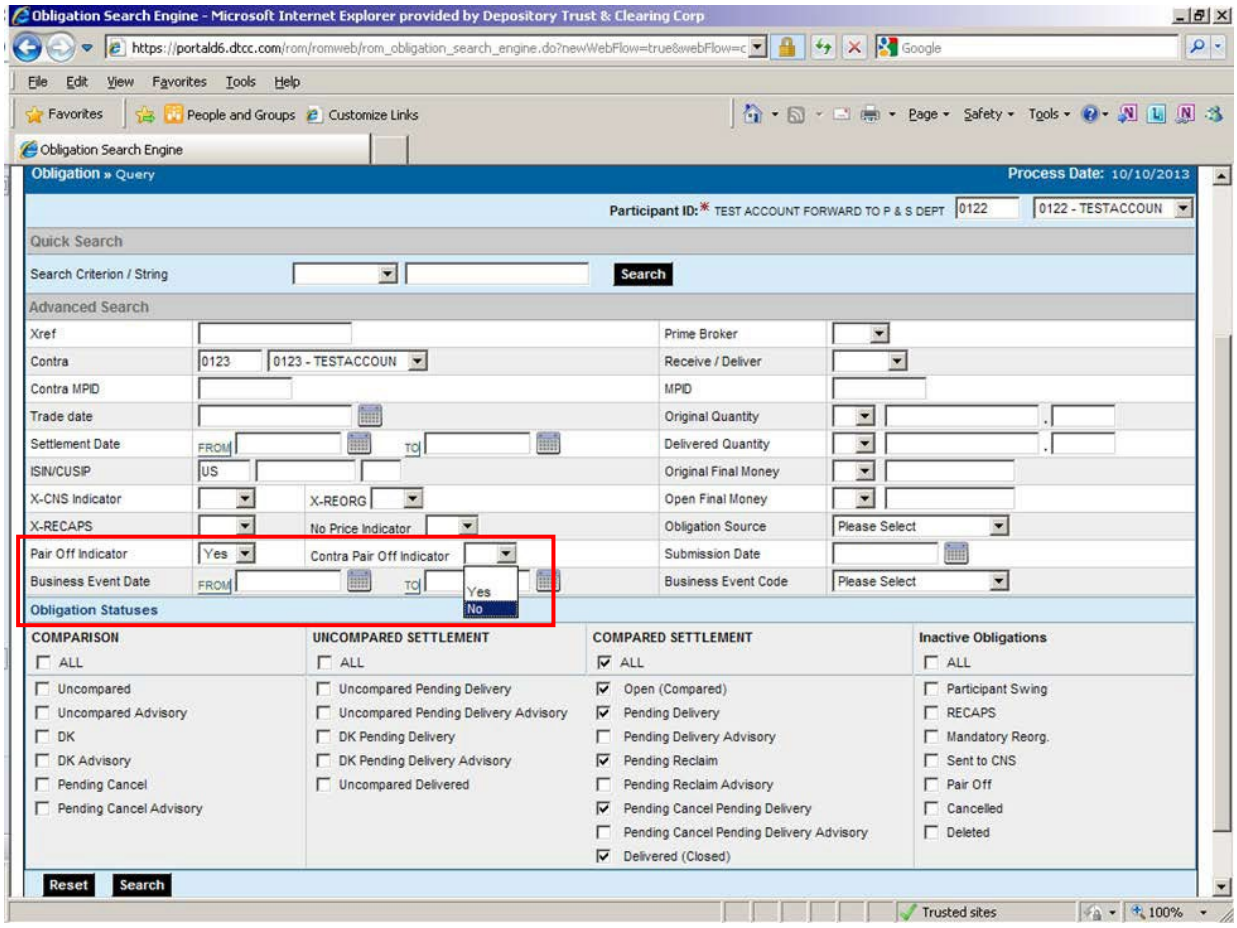
Click **OK**.



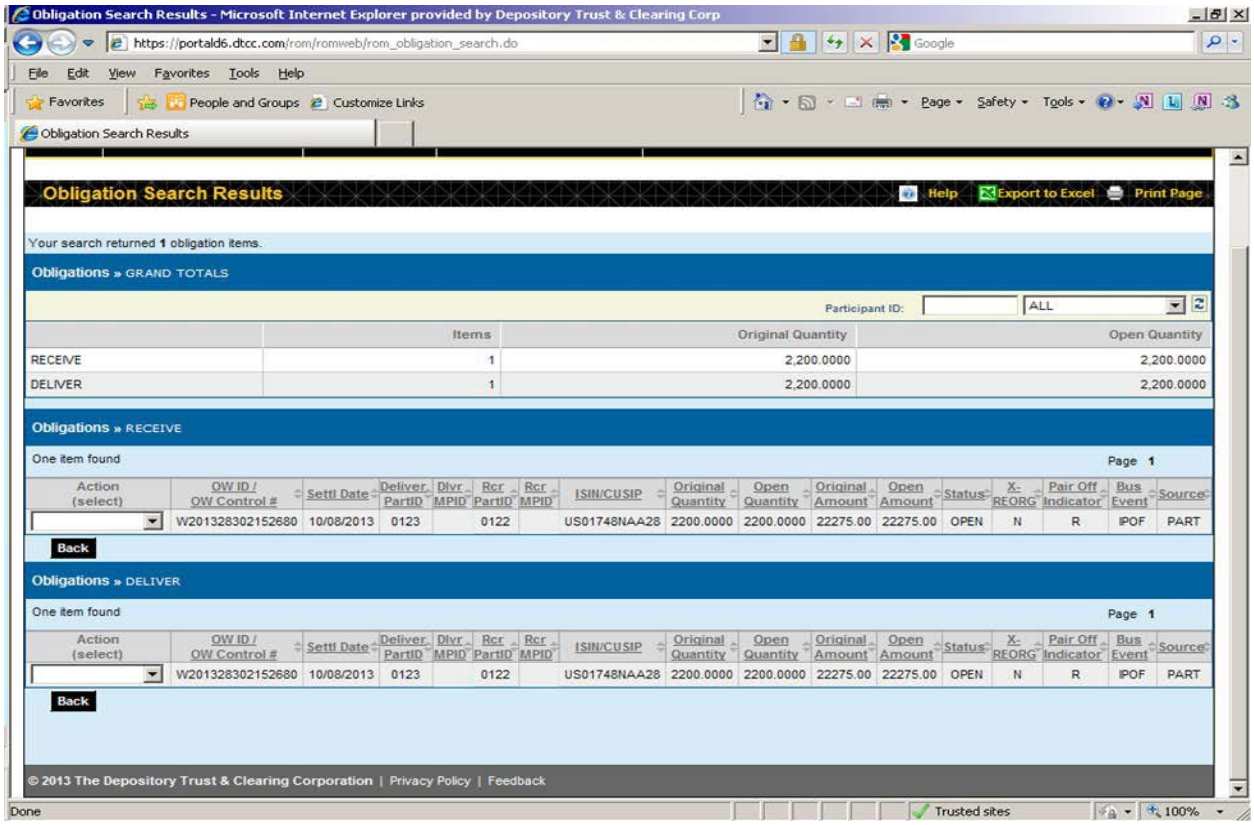
After clicking OK, the obligation details appear with a green banner at the top stating **Obligation processed successfully**.

Tools to assist Members with reconciliation include the improved Obligation Search Engine and a new Pair off Activity Report in the Obligation Warehouse Web Report Center.

In this example, the Obligation Search Engine criteria are set to query for obligations where one party has set the Pair Off indicator to Yes and the Contra has set it to No.

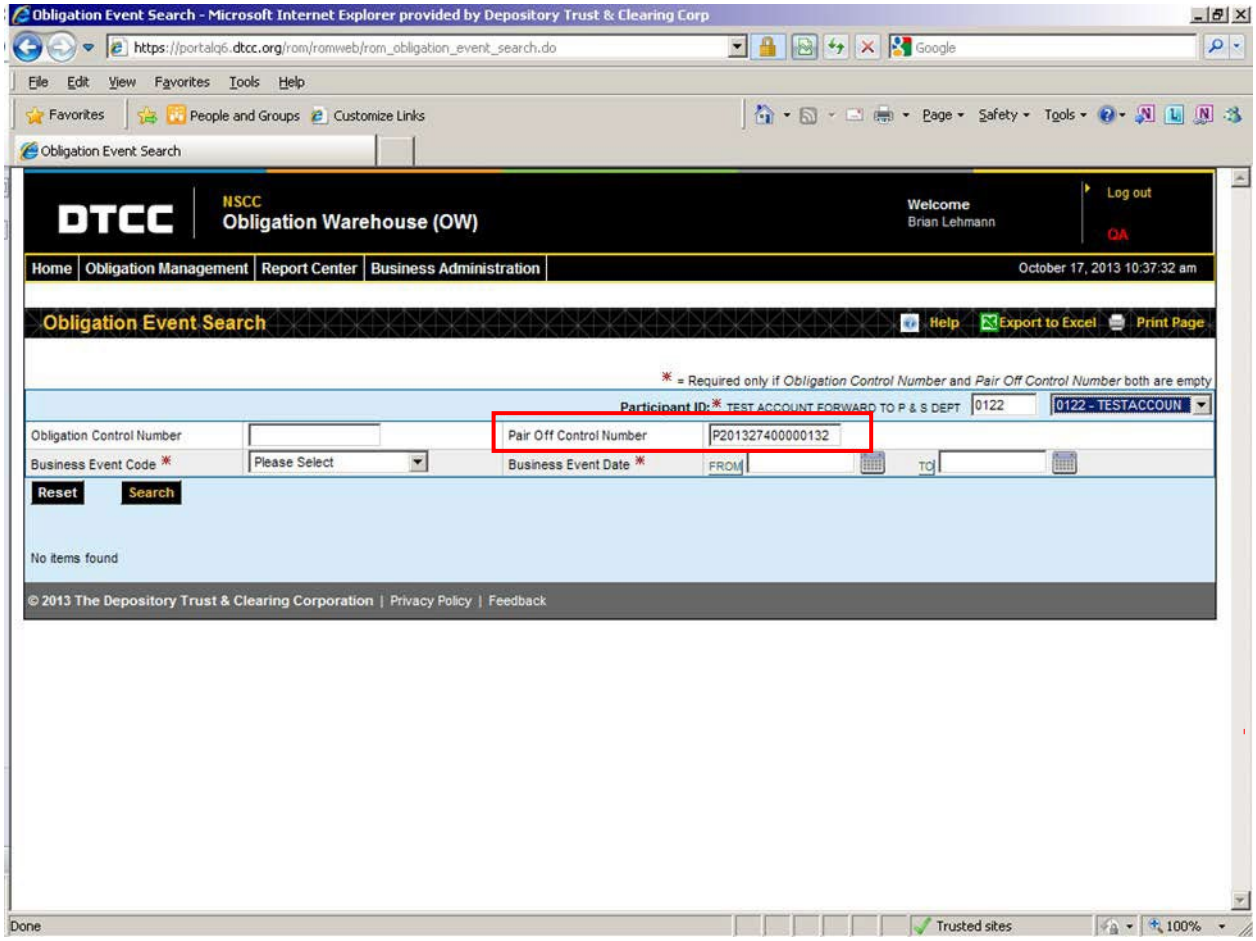


Sorting the obligations allows you to identify contras that may not have the Pair Off indicators set to YES so a pair off can be executed. After the obligations are identified the Member can then contact the Contra and request a modification of the Pair Off indicator to YES.



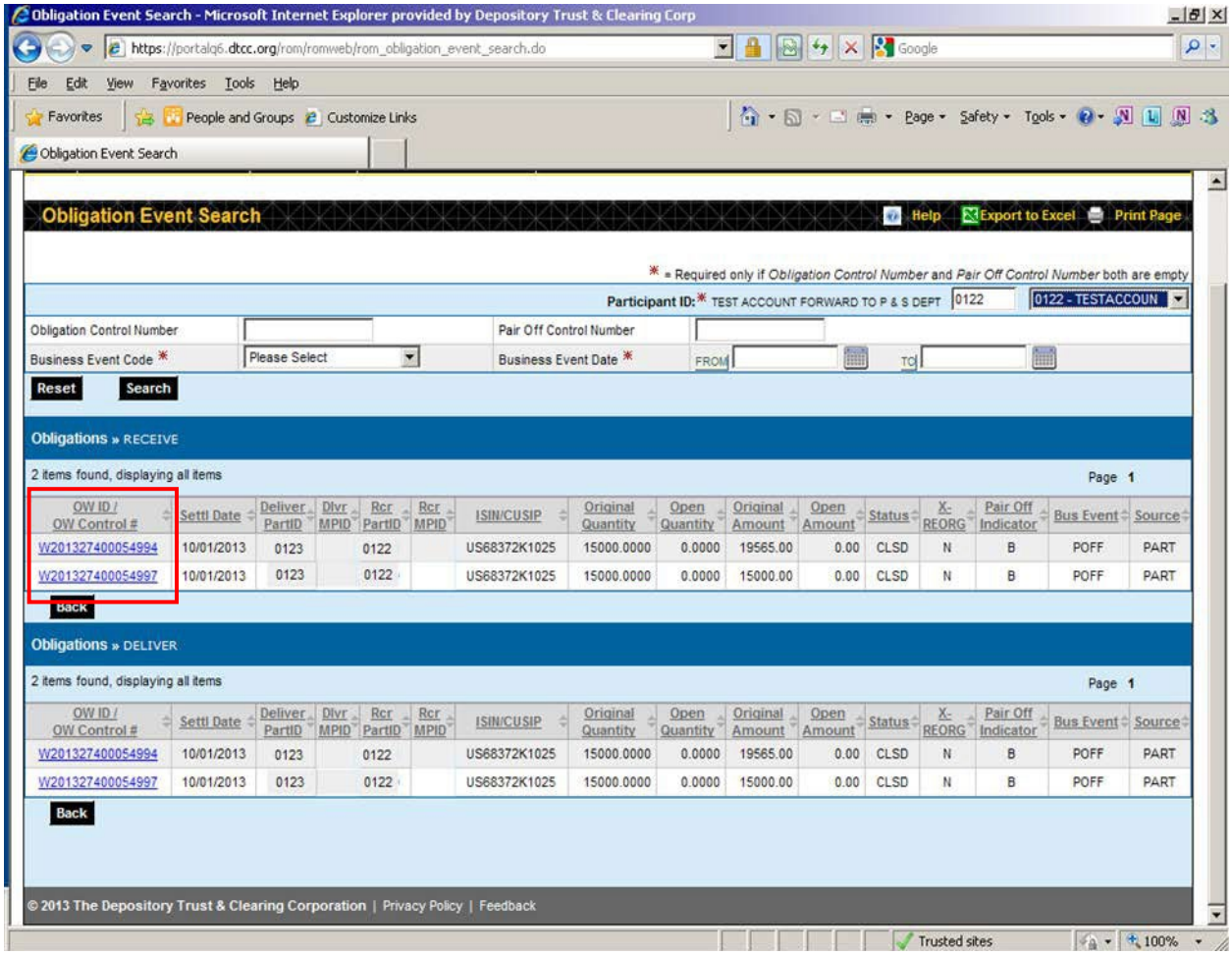
Obligation Event Search

This new Obligation Warehouse Web page in the Obligation Management menu, allows for identifying the obligations included in a specific business event during a defined time frame. This search should be used for a more comprehensive historical list of the events; it provides look back capabilities not just the last event. For example, the obligation could be closed today due to delivery, but may have been included in a one to many Pair off event yesterday.

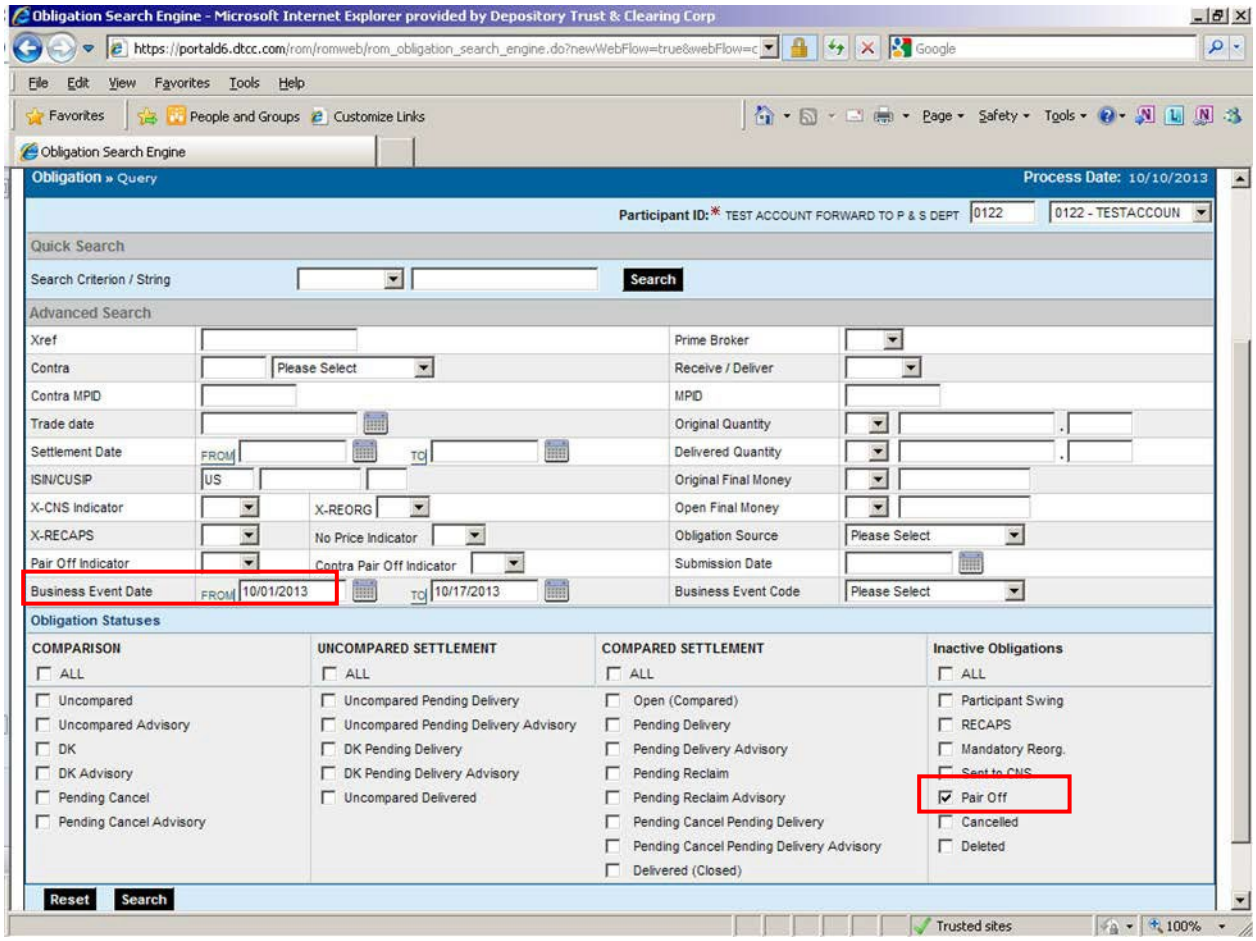


Populate the Pair off Control Number field to find all the obligations involved in a specific instance of a one to many pair off.

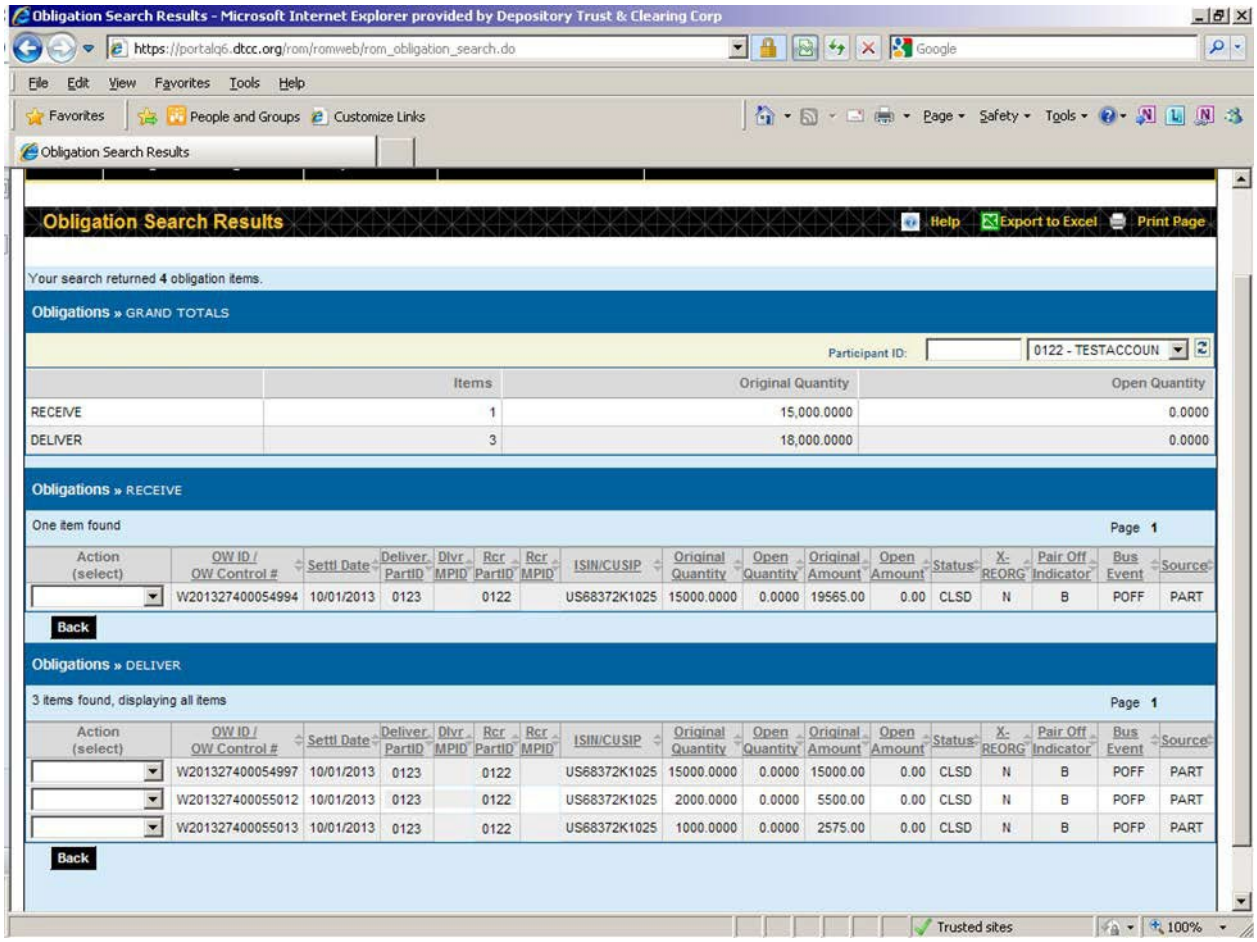
The Obligation Event search results of the query noted above for a specific Pair Off Control #, return the obligations. Note the Obligation Warehouse Control Number is a hyperlink. If you click the Obligation Warehouse Control Number; the details of the obligation are displayed.



Another way to search for obligations that have been closed due to the Pair Off process, use the Obligation Search Engine, select the range of dates of the Business Event and check the Pair off box. Select **Search**.



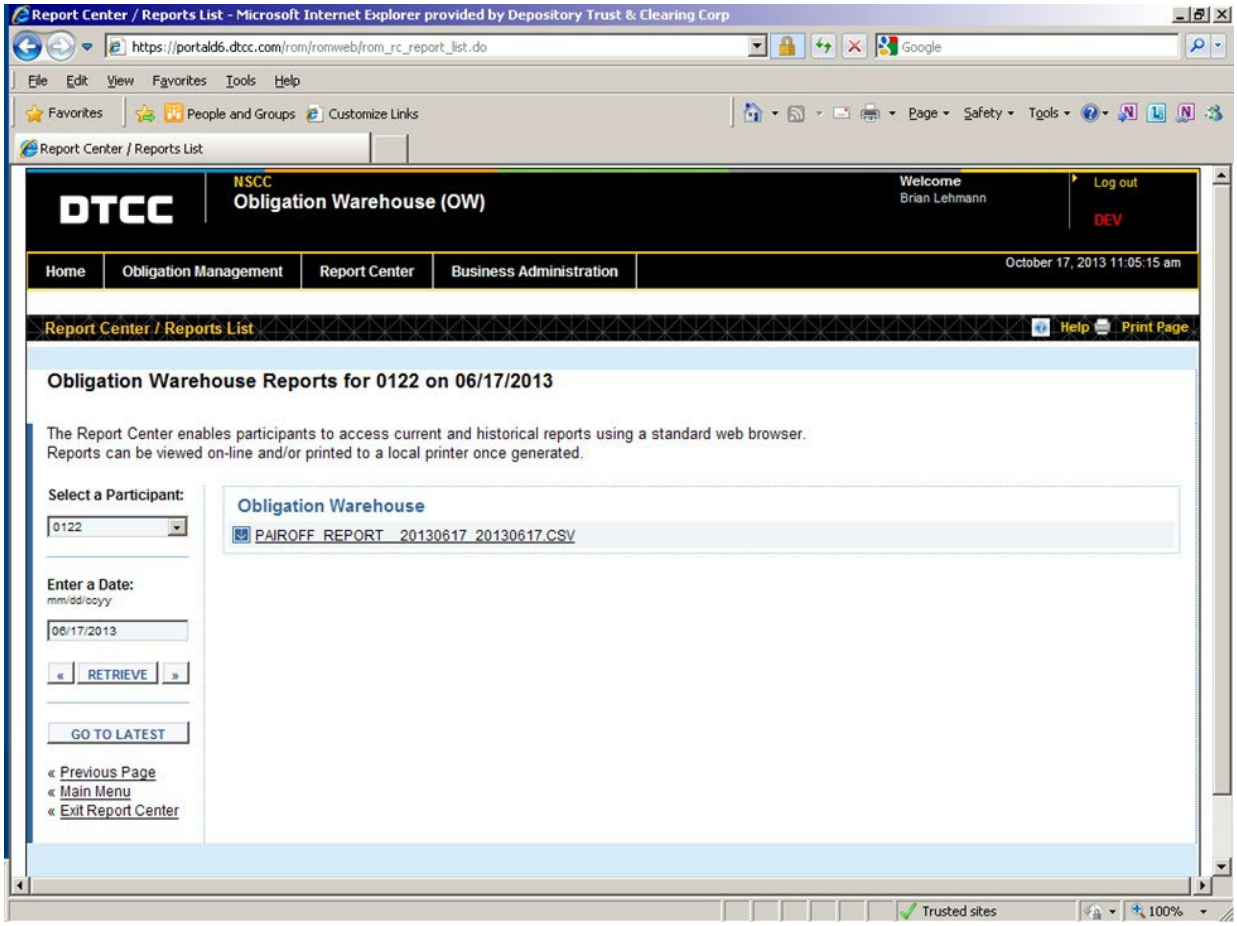
The Search Results page show one receive and three deliver obligations were closed due to a Pair Off during the timeframe defined.



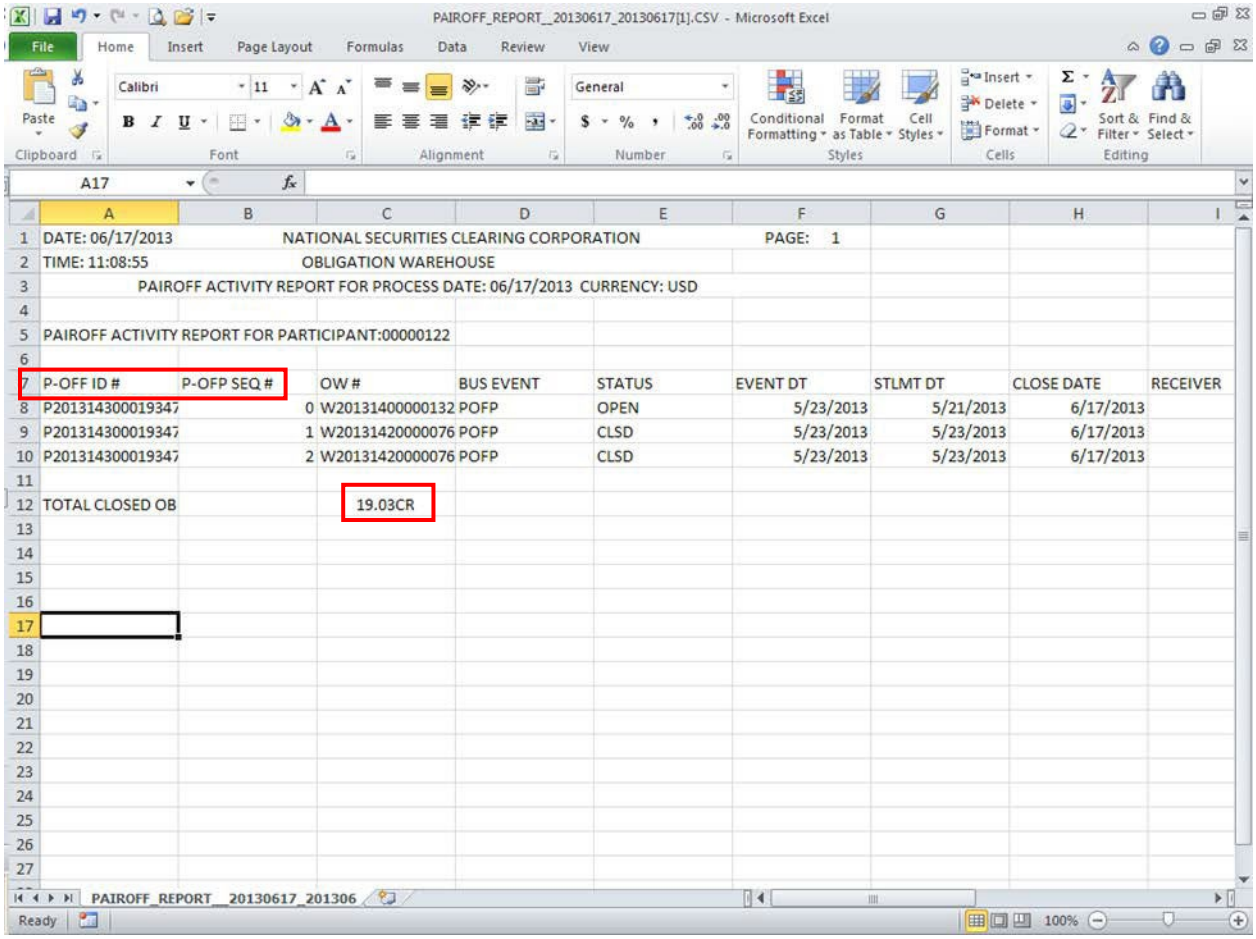
Obligation Warehouse runs the Pair Off process daily (with the exception of RECAPS day), immediately after the CNS eligibility check which occurs at 17:00 Eastern Time. Upon completion of the Pair Off process, the Pair Off Activity file is distributed through the AutoRoute file, and the report is available in the Obligation Warehouse Web Report Center.

Pair Off Activity Report

To access any Obligation Warehouse report, use the top menu bar in the Obligation Warehouse Web; and select the Report Center. Note all reports in Obligation Warehouse Web Report Center can be downloaded into Excel to be used in the firm level reconciliation process. In this example, select the Obligation Warehouse Pair Off Activity report.



The Pair Off Activity report provides the details of what obligations were included in the pair off processing. The report is in a format that can easily be downloaded into Excel. The sequence numbers indicate the order of closure against the main obligation.



PAIROFF_REPORT__20130617_20130617[1].CSV - Microsoft Excel

	A	B	C	D	E	F	G	H	I
1	DATE: 06/17/2013		NATIONAL SECURITIES CLEARING CORPORATION			PAGE: 1			
2	TIME: 11:08:55		OBLIGATION WAREHOUSE						
3			PAIROFF ACTIVITY REPORT FOR PROCESS DATE: 06/17/2013 CURRENCY: USD						
4									
5	PAIROFF ACTIVITY REPORT FOR PARTICIPANT:00000122								
6									
7	P-OFF ID #	P-OFP SEQ #	OW #	BUS EVENT	STATUS	EVENT DT	STLMT DT	CLOSE DATE	RECEIVER
8	P201314300019347	0	W20131400000132	POFP	OPEN	5/23/2013	5/21/2013	6/17/2013	
9	P201314300019347	1	W20131420000076	POFP	CLSD	5/23/2013	5/23/2013	6/17/2013	
10	P201314300019347	2	W20131420000076	POFP	CLSD	5/23/2013	5/23/2013	6/17/2013	
11									
12	TOTAL CLOSED OB		19.03CR						

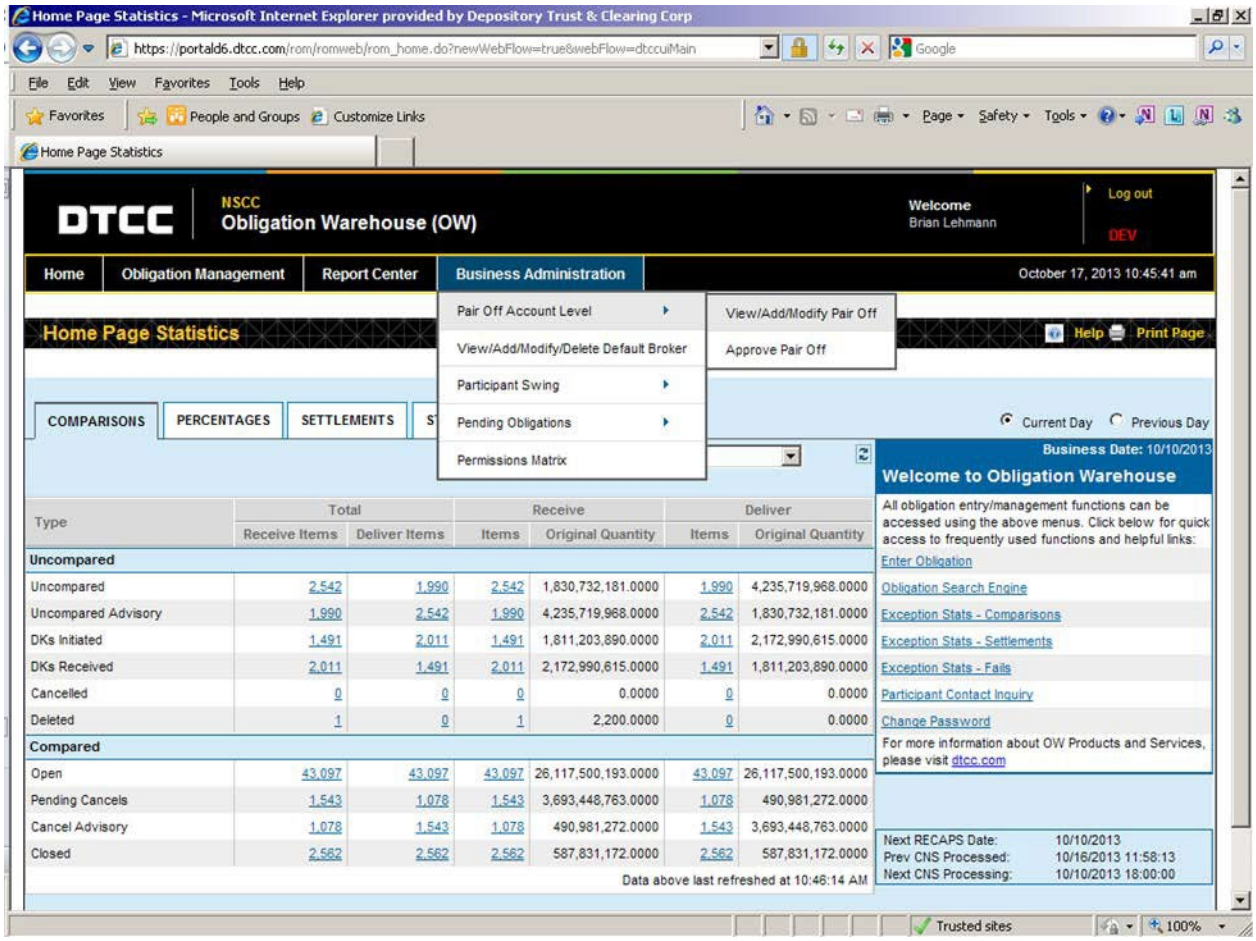
- Each obligation closed also is tagged with the same Pair Off Control Number (**P-OFF ID #**) so the grouping of many securities can be maintained.
- In the example, the Pair Off included an obligation which was decremented as multiple obligations were paired against it. The two sequence events (**P-OFP SEQ#)** which are in numerical order are below the main obligation.
- The result of the Pair Offs created a **credit balance of $19.03**.

Account Level Pair Off Function

After an account is designated as Account Level Pair Off, all obligations submitted to Obligation Warehouse are set to Pair Off = YES. Only matched obligations have the Pair Off indicator set to yes.

After setting the Account Level Pair Off indicator once, it continues being applied until modified or deleted. Note the Account Level Pair Off designation requires two levels of approval.

Use the Business Administration menu located on the top bar of Obligation Warehouse Web to access the Pair Off Account Level feature. Select View/ Add/ Modify Pair Off.

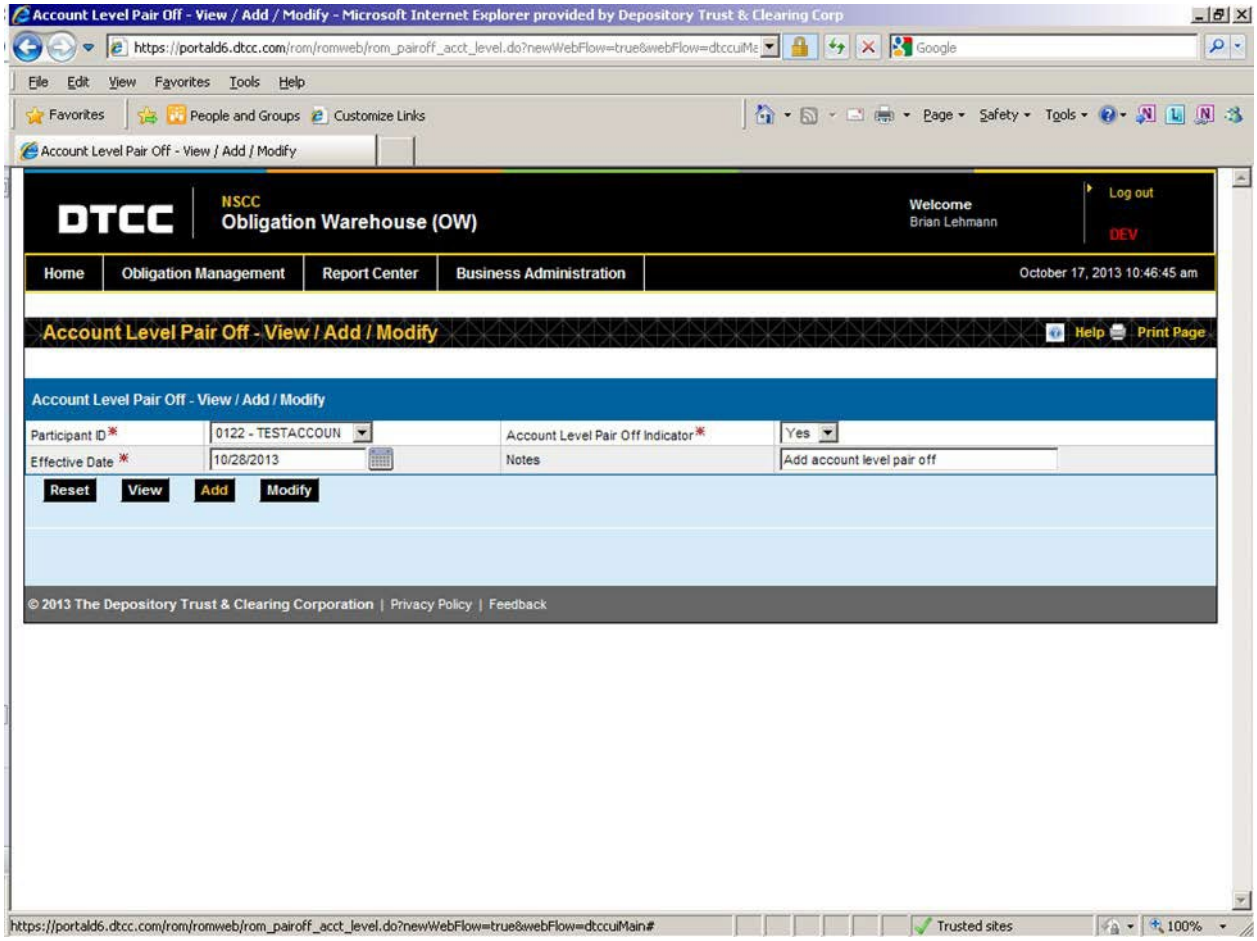


Identify the NSCC Account number where an authorized approver wants to view and possibly change the Account Level Pair Off Indicator.

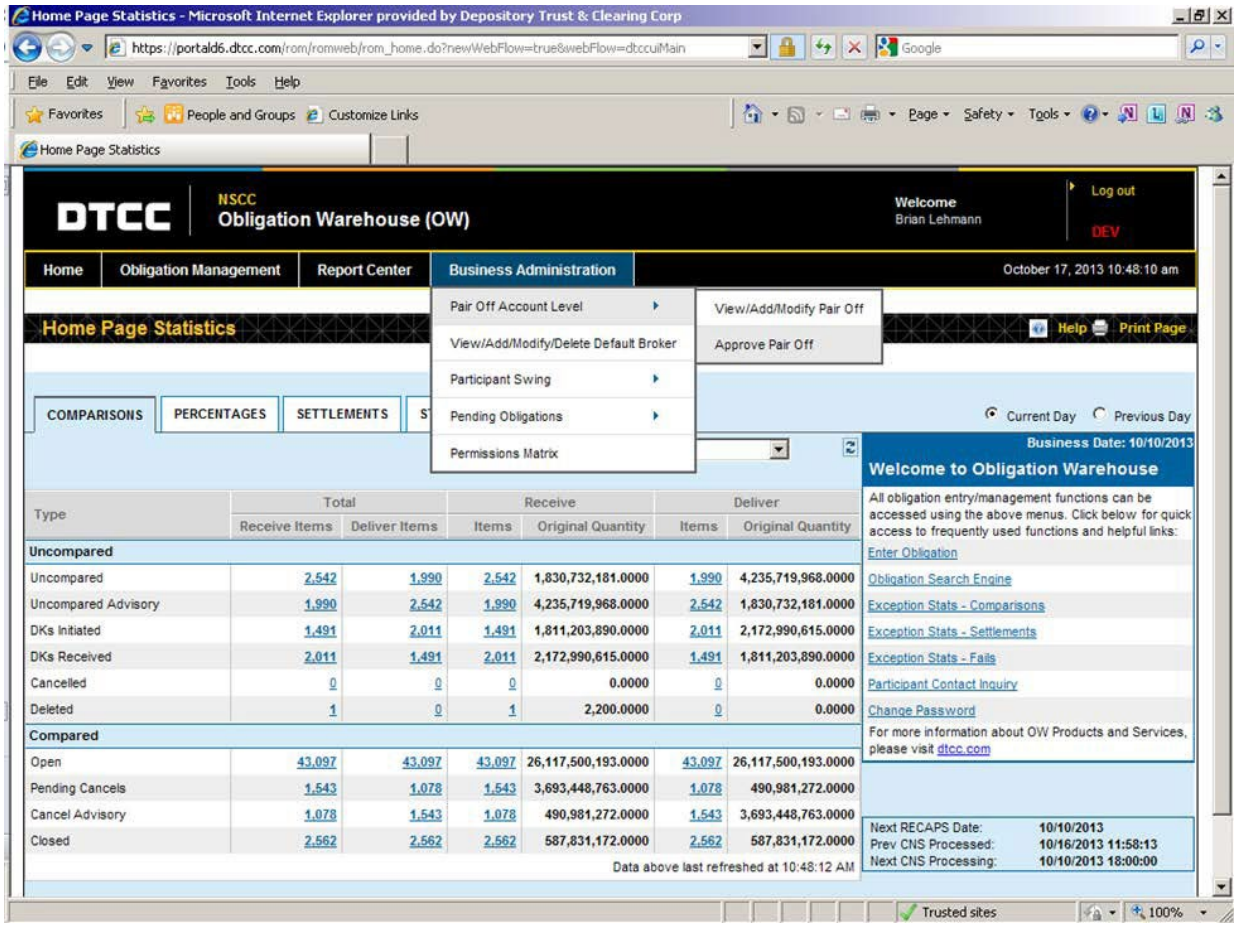
Populate the effective date to define when Obligation Warehouse begins applying the Account Level Pair Off.

A different user at the same firm with the entitlement of Approver can accept the Account Level changes. After it is completed, the Pair Off indicator is adjusted going forward. The Pair Off indicator does not change on existing obligations in the database. Only new submissions beginning on the day the Account Level Pair Off is introduced are changed.

In this example, you are requesting that Account Level Pair Off indicator be set to include all obligations.

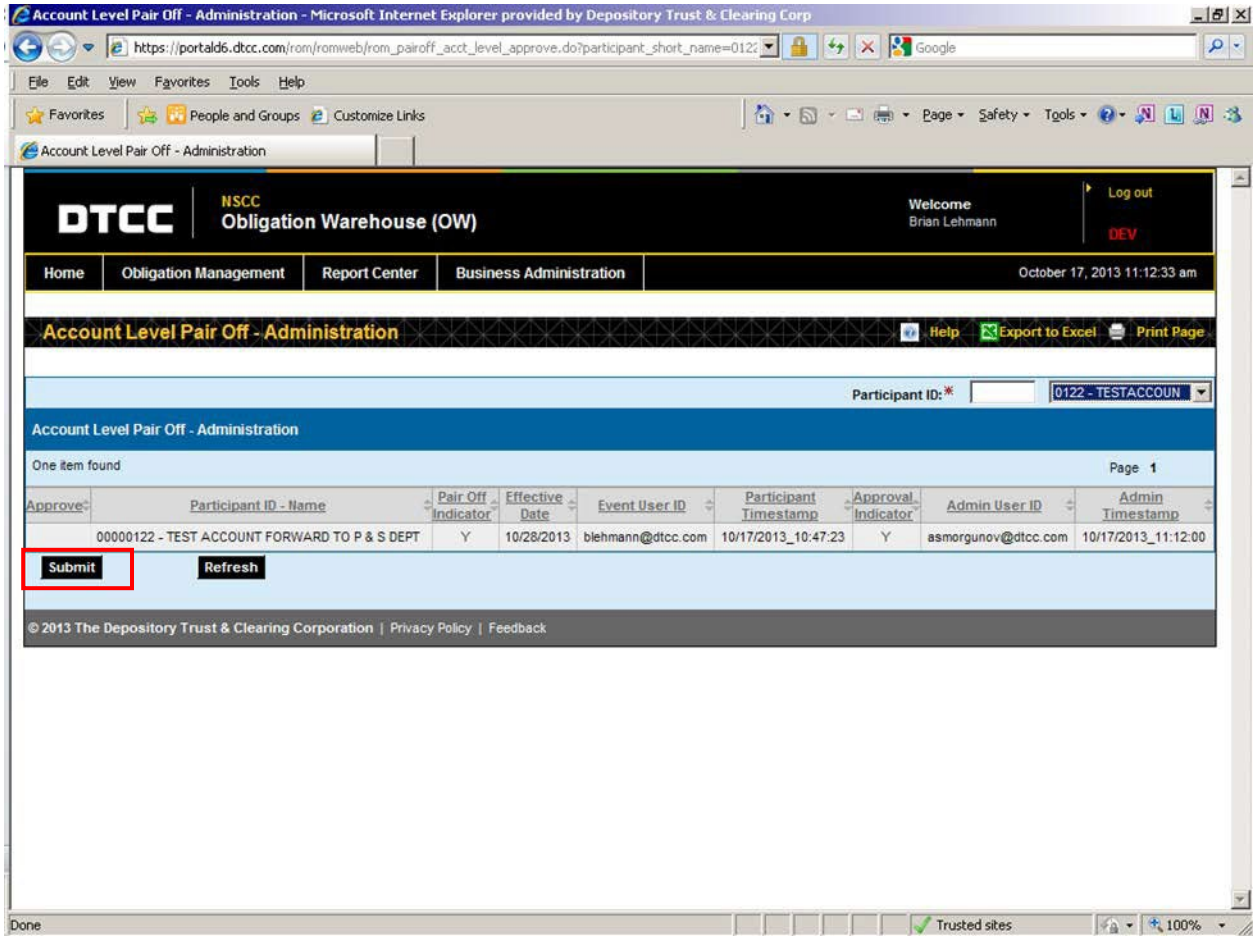


A different user who has approval authority is required to enter Obligation Warehouse Web, pull down the Business Administration menu for **Pair Off Account Level** and select **Approve Pair Off**.



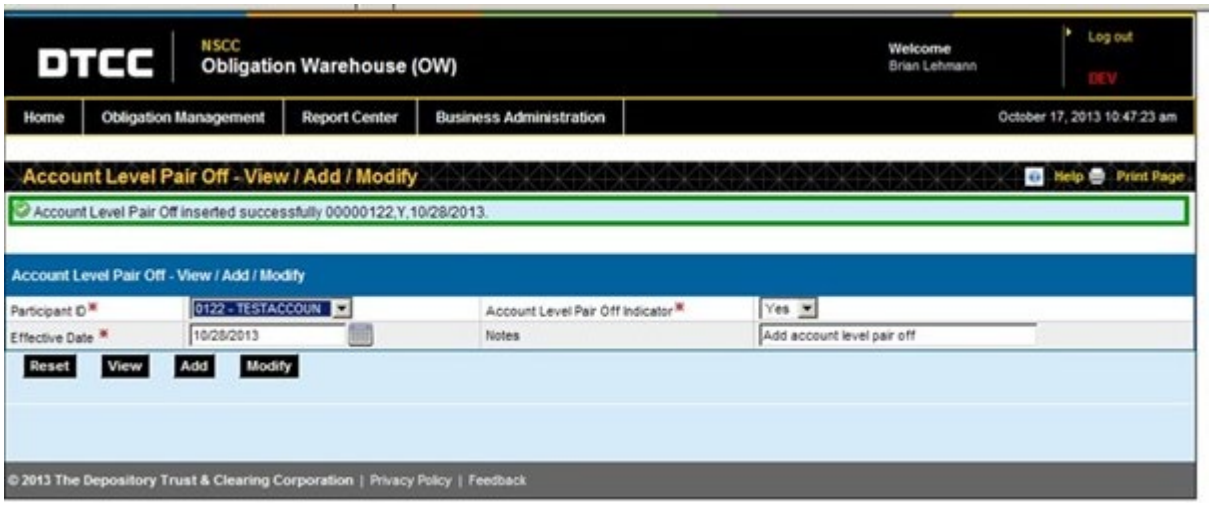
Type	Total		Receive		Deliver	
	Receive Items	Deliver Items	Items	Original Quantity	Items	Original Quantity
Uncompared						
Uncompared	2,542	1,990	2,542	1,830,732,181.0000	1,990	4,235,719,968.0000
Uncompared Advisory	1,990	2,542	1,990	4,235,719,968.0000	2,542	1,830,732,181.0000
DKs Initiated	1,491	2,011	1,491	1,811,203,890.0000	2,011	2,172,990,615.0000
DKs Received	2,011	1,491	2,011	2,172,990,615.0000	1,491	1,811,203,890.0000
Cancelled	0	0	0	0.0000	0	0.0000
Deleted	1	0	1	2,200.0000	0	0.0000
Compared						
Open	43,097	43,097	43,097	26,117,500,193.0000	43,097	26,117,500,193.0000
Pending Cancels	1,543	1,078	1,543	3,693,448,763.0000	1,078	490,981,272.0000
Cancel Advisory	1,078	1,543	1,078	490,981,272.0000	1,543	3,693,448,763.0000
Closed	2,562	2,562	2,562	587,831,172.0000	2,562	587,831,172.0000

The accounts that are pending display and the submit option is selected.



Starting on the effective date after the 10:00 Eastern Time update, every new obligation accepted into Obligation Warehouse from the automated loads sources of ACATS/ ECATS/ FCATS; CNS Exits, and NSCC Balance Orders have the Account Level Pair Off Indicator reflecting the value requested.

Upon completion of the Account Level Pair Off approval the green banner denoting success appears.



If an account is designated by the Account Level Pair Off with the Include for Pair Off (Pair Off = YES); individual obligations can be modified to reverse the account level action. In this example, a modification of the Pair Off indicator can be entered either through Obligation Warehouse Web or submitted through MQ messaging to Exclude for Pair Off (Pair Off = NO).

6. MRO SPECIFICATIONS AND MQ MESSAGING

View the **Obligation Warehouse Pair Off Activity MRO (AutoRoute Product ID: Production 02051967, PSE Test 02981967**) available in the Obligation Warehouse Technical Resources section of the DTCC Learning Center.

MQ Messaging

Look for these new codes (found on all output):

- IPOF = Include for Pair off;
- XPOF = Exclude for Pair off;
- POFF= Pair off closed the entire obligation; and
- POFP = Pair off partially closed the obligation.

The MT 518 MQ response messages also use the same event codes for each action.

7. PREPARING FOR TESTING

All members who anticipate using the pair of process in Obligation Warehouse are required to test prior to activation of the functionality.

1. Members should set up to receive the new **Obligation Warehouse Pair Off Activity file**, in both test and production.
   - Auto Route Production Product ID: # **02051967**
   - Auto Route Test Product ID: **# 02981967**
2. Members using MQ messaging should modify their applications to accept and send the new values in the message tags on the MT 515. Review the MQ message specification available in the Obligation Warehouse Technical Resources section.

For setup and testing, contact the NSCC Integration team by email at NSCCIntegration@dtcc.com.

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Doc Date: October 11, 2022
Publication Code: OW143
Service: Obligation Warehouse
Title: Pair Off Update Guide

FOR MORE INFORMATION

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www.dtcclearning.com